

Chanel

Company Chanel

Management Control in the
Chanel Industry
Group 09 | Team 10

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Agenda

1. Introduction
2. Management Control
3. Factors influencing the management control
4. Conclusion

Introduction

Description of the Organization

- Chanel is a leading luxury brand specializing in fashion, fragrances, beauty, and fine jewelry.
- **Operates in three divisions:** Fashion, Fragrances & Beauty, and Watches & Fine Jewelry.
- Global operations are segmented by regions, including Europe, North America, and the Swiss Market.
- **Objectives:** Maintain leadership in luxury, drive revenue growth, innovate, and preserve brand heritage and exclusivity.

Presentation of the Person Interviewed

- **Name:** Imad Bouchibane.
- **Role:** International Management Controller (FP&A) in Watches & Fine Jewelry division.
- **Responsibilities:** Budget management, performance reporting, and decision-making across Switzerland, Mexico, Brazil, Panama, and India.

Reason for Choosing this Person/Organization

- Imad provides a unique perspective on management control in a global luxury context.
- His role combines financial planning and strategic analysis, offering insights into Chanel's operations and accountability practices.
- Chanel exemplifies excellence in balancing growth and brand preservation in a complex market.

Management Control

1. Structure of Management Control

- **Matrix Structure:** Combines product lines (Fashion, Fragrances & Beauty, Watches & Fine Jewelry) with regional divisions.
- **Regional Operations:** Teams in Geneva are divided into marketing, finance, and operations departments.

2. Delegation of Authority

Autonomy and Trust: Tasks managed independently, supported by controllers for guidance.



3. Responsibility Structure

- **Profit Centre:** Watches & Fine Jewelry division operates as a profit centre.
- **Local:** Oversee boutique-specific operations (e.g., Geneva, Zurich).
- **Regional:** Manage multi-country oversight (e.g., Switzerland, Mexico, Brazil).

4. Tools Used in Management Control

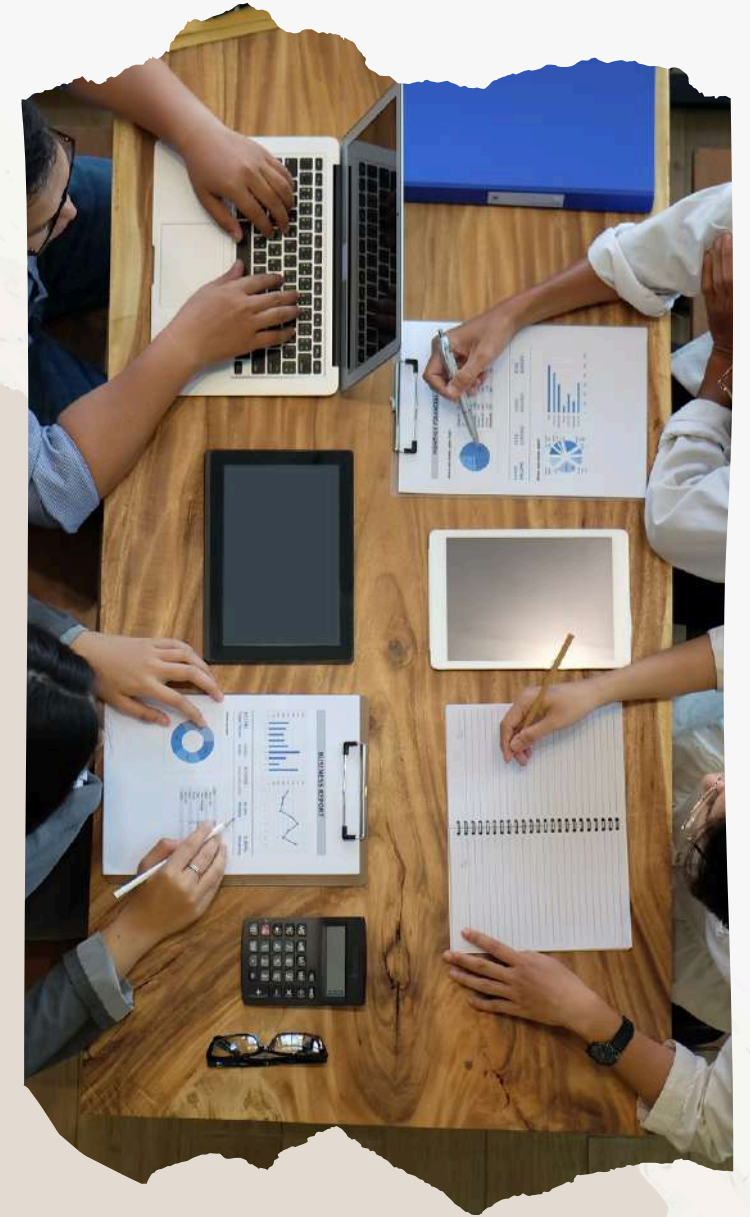
- **Power BI:** Creates interactive dashboards for non-technical teams.
- **TM1:** Consolidates team budgets.
- **Anaplan:** Centralized repository for financial data.
- **Excel:** Used for quick data analysis.

5. Application of Tools

- **Budget System:** TM1 consolidates inputs, updated weekly for Switzerland, monthly for other markets.
- **Key Performance Indicators (KPIs):** Includes MTD, YTD, budget utilization, and sales metrics for regular review and adjustment.

6. Example Situation

- **Issue:** Low store traffic in June 2024 reduced sales.
- **Action Taken:** Escalation led to a €600,000 high-value client deal, salvaging the month's performance.



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Factors influencing the management control

- **Empowering Teams:**
Employees are given freedom to make decisions, fostering pride and accountability.
- **Trust as a Core Value:**
A culture of trust encourages innovation, idea-sharing, and calculated risks.
- **Focus on Objectives:**
Teams prioritize key tasks, aligning efforts with the company's vision.
- **Supportive Leadership:**
Leaders guide and support without micromanaging, empowering employees.
- **Fostering Innovation:**
Reduced bureaucracy allows creativity to thrive, sustaining Chanel's legacy.
- **Promoting Responsibility:**
Autonomy paired with support drives accountability and high-quality results.



CONCLUSION

Management Control: A Strategic Imperative

Effective management control systems are vital for organizational success. Chanel's Watches & Fine Jewelry division demonstrates how robust systems, innovative tools, and data-driven insights enhance decision-making and performance.

Key Takeaways:

- **Strategic Alignment:** Align control systems with organizational goals.
- **Data-Driven Insights:** Utilize advanced analytics for informed decisions.
- **Empowerment and Accountability:** Foster a culture of accountability and informed decision-making.
- **Continuous Improvement:** Regularly refine systems to adapt to business changes.

Adopting these principles ensures efficiency, profitability, and sustainable growth.

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Thank You!

